Supreme Court, U.S.
FILED
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No. 97-1642

In the Supreme Court of the United States

OCTOBER TERM, 1997

THE UNITED STATES DEPARTMENT OF THE ARMY,
PETITIONER

v.

BLUE FOX, INC.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE NINTH CIRCUIT

JOINT APPENDIX

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IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

No. 3:95cv612

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS ADMINISTRATION; AND THE UNITED STATES DEPARTMENT OF THE ARMY,
DEFENDANTS

DOCKET ENTRIES

DATE	DOCKET NUMBER	PROCEEDINGS
5/11/95	1	COMPLAINT (Cause Code: 28:1331) (Receipt # 155353) (tely) [Entry date 05/12/95]
5/11/95	2	SUMMONS ISSUED to Janet Reno (tely) [Entry date 05/12/95]
5/11/95	3	SUMMONS ISSUED as to Defendant Small Business Admin thru Carol Colpitts (tely) [Entry date 05/12/95]
5/11/95	4	SUMMONS ISSUED as to Defendant US Army thru Mary Ann Keyser (tely) [Entry date 05/12/95]

DATE	DOCKET NUMBER	PROCEEDINGS
5/11/95	5	SUMMONS ISSUED to US Attorney Kristine Olson (tely) [Entry date 05/12/95]
5/11/95	6	ORDER Discovery Schedule discovery ddl set for 9/8/95 pretrial order deadline set for 10/10/95 (tely) [Entry date 05/12/95]
7/11/95	7	MOTION by Defendants' TO EXTEND TIME TO ANSWER COMPLAINT TO 7/21/95 (tely)
7/12/95	8	RECORD OF ORDER by Honorable Helen J. Frye GRANTING Defendants MOTION TO EXTEND TIME TO ANSWER COMPLAINT TO 7/21/95 [7-1] (counsel notified) Court Rptr none (tely)
7/21/95	9	ANSWER by Defendants Small Business Admin, US Army to complaint [1-1] (tely) [Entry date 07/24/95]
9/7/95	10	MOTION by Plaintiff Blue Fox Inc TO EXTEND DISCOVERY AND PRETRIAL ORDER DEADLINES (tely)
9/11/95	11	RECORD OF ORDER by Honorable Helen J. Frye GRANTING Plaintiff's MOTION TO EXTEND DISCOVERY AND PRETRIAL ORDER DEADLINES [10-1]. Discovery ddl set for 10/10/95 & pretrial order ddl set for 11/10/95 (counsel notified) Court Rptr none (tely) [Entry date 09/12/95]

DATE	DOCKET NUMBER	PROCEEDINGS
10/10/95	12	MOTION by Defendants Small Business Admin, & US Army FOR EXTENSION OF TIME to 10/10/95 to file motions. CERTIFICATE OF SERVICE. (gam) [Entry date 10/12/95]
10/12/95	13	MOTION by Plaintiff Blue Fox Inc TO EXTEND DISCOVERY AND PRETRIAL ORDER DEADLINES (peg) [Entry date 10/13/95]
10/13/95	14	RECORD OF ORDER by Honorable Helen J. Frye GRANTING Defendants MOTION FOR EXTENSION OF TIME to 10/13/95 to file motions [12-1] & GRANTING Plaintiff's MOTION TO EXTEND DISCOVERY AND PRETRIAL ORDER DEADLINES [13-1]. Discovery ddl set for 11/9/95; pretrial order ddl set for 12/11/95 & dispositive motions due 11/13/95 (counsel notified) Court Rptr none (tely) [Entry date 10/16/95]
11/9/95	15	MOTION by Plaintiff Blue Fox Inc TO EXTEND DISCOVERY AND PRETRIAL ORDER DEADLINES (tely)
11/13/95	16	RECORD OF ORDER by Honorable Helen J. Frye GRANTING Plaintiff's MOTION TO EXTEND DISCOVERY AND PRETRIAL ORDER DEADLINES [15-1]. Discovery ddl set for 1/8/96 & pretrial order ddl set for 2/8/96 (counsel notified) Court Rptr none (tely) [Entry date 11/14/95]

DATE	DOCKET NUMBER	PROCEEDINGS
2/9/96	17	RECORD OF ORDER by Honorable Helen J. Frye ORDER extending the time to lodged the Pretrial Order if it becomes necessary to 30 days after the Court's decision on SJ MOTION that the parties plan to file. (counsel notified) Court Rptr none (tely)
2/15/96	18	MOTION by Plaintiff Blue Fox Inc FOR SUMMARY JUDGMENT Oral Argument Requested (tely)
2/15/96	19	MEMORANDUM IN SUPPORT by Plaintiff Blue Fox Inc of MOTION FOR SUMMARY JUDGMENT [18-1] (tely)
2/15/96	20	STATEMENT OF FACTS by Plaintiff Blue Fox Inc in support of MOTION FOR SUMMARY JUDGMENT [18-1] (tely)
2/15/96	21	EXHIBITS TO PLAINTIFF'S MOTION FOR SJ [18-1] (tely)
2/20/96	22	RECORD OF ORDER by Honorable Helen J. Frye SETTING Plaintiff's MOTION FOR SUMMARY JUDGMENT [18-1] on oral argument calendar of 1:30 3/25/96 (counsel notified) Court Rptr none (tely) [Entry date 02/21/96]
2/26/96	23	MOTION by Defendants' TO EXTEND TIME TO 3/4/96 TO RESPOND TO DEFENDANTS MOTION FOR SJ [18-1] (tely)

DATE	DOCKET NUMBER	PROCEEDINGS
2/26/96	24	CERTIFICATE OF SERVICE of MOTION TO EXTEND TIME TO 3/4/96 TO RESPOND TO DEFENDANTS MOTION FOR SJ [18-1] [23-1] by Defendants' (tely)
3/1/96	25	RECORD OF ORDER by Honorable Helen J. Frye GRANTING Defendants MOTION TO EXTEND TIME TO 3/4/96 TO RESPOND TO DEFENDANTS MOTION FOR SJ [18-1] [23-1]. ORDER STRIKING Plaintiff's MOTION FOR SUMMARY JUDGMENT [18-1] from the 3/25/96 calendar. It will be reset once the Government files its response and/or motion for summary judgment (counsel notified) Court Rptr none (tely)
3/4/96	26	MOTION by Defendants' FOR SUMMARY JUDGMENT Oral Argument Requested (tely)
3/4/96	27	MEMORANDUM IN SUPPORT by Defendants of MOTION FOR SUMMARY JUDGMENT [26-1] & in opposition to Plaintiffs MOTION FOR SUMMARY JUDGMENT [18-1] (tely)
3/4/96	28	STATEMENT OF FACTS by Defendant in support of MOTION FOR SUMMARY JUDGMENT [26-1] (tely)
3/4/96	29	AFFIDAVIT by Defendants of Hildegard Choate MOTION FOR SUMMARY JUDGMENT [26-1] (tely)
3/4/96	30	DECLARATION by Defendants of Erlinda M Sawyers re MOTION FOR SUMMARY JUDGMENT [26-1] (tely)

DATE	DOCKET NUMBER	PROCEEDINGS
3/4/96	31	CERTIFICATE OF SERVICE of declaration [30-1], affidavit [29-1], statement [28-1], memorandum [27-1], MOTION FOR SUMMARY JUDGMENT [26-1] by Defendants' (tely)
3/7/96	32	RECORD OF ORDER by Honorable Helen J. Frye SETTING Defendants MOTION FOR SUMMARY JUDGMENT [26-1] & Plaintiff's MOTION FOR SUMMARY JUDGMENT [18-1] on oral argument calendar of 1:30 4/8/96 (counsel notified) Court Rptr none (tely) [Entry date 03/08/96]
3/18/96	33	MOTION by Plaintiff Blue Fox Inc TO EXTEND TIME TO FILE REPLY TO ITS MOTION FOR SJ [18-1] (tely)
3/25/96	34	RECORD OF ORDER by Honorable Helen J. Frye GRANTING Plaintiff's MOTION TO EXTEND TIME TO FILE REPLY TO ITS MOTION FOR SJ [18-1] [33-1]. ORDER extending deadline to file Plaintiff's reply brief to Plaintiff's MOTION for SJ & response brief to Defendant's MOTION for SJ is 3/25/96. ORDER RESETTING Plaintiff's MOTION FOR SUMMARY JUDGMENT [18-1] & Defendant's MOTION FOR SUMMARY JUDGMENT [26-1] to the oral argument calendar of 4/15/96 at 1:30pm (counsel notified) Court Rptr none (tely)

DATE	DOCKET NUMBER	PROCEEDINGS
3/25/96	35	REPLY TO Defendants' RESPONSE by Plaintiff Blue Fox Inc re [18-1] MOTION FOR SUMMARY JUDGMENT & response to Defendant's [26-1] MOTION FOR SUMMARY JUDGMENT (tely) [Entry date 03/26/96]
3/25/96	36	STATEMENT OF FACTS by Plaintiff Blue Fox Inc in opposition to Defendants MOTION FOR SUMMARY JUDGMENT [26-1] (tely) [Entry date 03/26/96]
4/8/96	37	MOTION by Defendants' TO EXTEND TIME TO FILE THEIR REPLY TO THEIR MOTION FOR SJ [26-1] (tely)
4/10/96	38	MEMORANDUM by Plaintiff Blue Fox Inc IN OPPOSITION to Defendants MOTION TO EXTEND TIME TO FILE THEIR REPLY TO THEIR MOTION FOR SJ [26-1] [37-1] (tely)
4/12/96	39	REPLY by Defendants IN SUPPORT OF MOTION FOR SUMMARY JUDGMENT [26-1] (wri)
4/12/96	40	RECORD OF ORDER by Honorable Helen J. Frye GRANTING MOTION TO EXTEND TIME TO FILE THEIR REPLY TO THEIR MOTION FOR SJ [26-1] [37-1] SETTING MOTION FOR SUMMARY JUDGMENT [26-1] on oral argument calendar of 1:30 4/22/96, SETTING MOTION FOR SUMMARY JUDGMENT [18-1] on oral argument calendar of 1:30 4/22/96 Reply due 4/15/96 (counsel notified) (clar) [Entry date 04/15/96]

DATE	DOCKET NUMBER	PROCEEDINGS
4/22/96	41	RECORD OF PROCEEDINGS before Honorable Helen J. Frye TAKING UNDER ADVISEMENT on 4/22/96 CROSS MOTIONS FOR SUMMARY JUDGMENT [18-1] & [26-1] (counsel notified) Court Rptr D Grube (tely) [Entry date 04/23/96]
5/24/96	42	OPINION: Defendants MOTION FOR SUMMARY JUDGMENT [26-1] is GRANTED; Plaintiffs MOTION FOR SUMMARY JUDGMENT [18-1] is DENIED; Judgment will be entered in favor of the Army and the SBA; Signed 5/24/96 by Honorable Helen J. Frye (counsel notified) (wri) [Entry date 05/29/96]
5/24/96	43	ORDER by Honorable Helen J. Frye GRANTING DEFENDANTS MOTION FOR SUMMARY JUDGMENT [26-1], & DENYING PLAINTIFFS MOTION FOR SUMMARY JUDGMENT [18-1]; Judgment will be entered in favor of Defendants; Signed 5/24/96 (counsel notified) (wri) [Entry date 05/29/96]
5/24/96	44	JUDGMENT IT IS HEREBY ORDERED & ADJUDGED THAT JUDGMENT IS ENTERED IN FAVOR OF THE DEFENDANTS & AGAINST THE PLAINTIFF Signed 5/24/96 (microfilmed 5/24/96) Honorable Helen J. Frye (counsel notified) (wri) [Entry date 05/29/96]

DATE	DOCKET NUMBER	PROCEEDINGS
5/30/96	45	NOTICE OF ADDRESS CHANGE by attorney Thomas F Spaulding for Plaintiff Blue Fox Inc (wri) [Entry date 05/31/96]
6/4/96	46	NOTICE OF APPEAL to Court of Appeals by Plaintiff Blue Fox Inc from Judgment filed 5/24/96 [44-2] (wri)
6/4/96	—	RECEIVED APPEAL fee from Blue Fox Inc in amount of $105.00 (Receipt # 160585) (tomg) [Entry date 06/05/96]
6/5/96	—	NOTIFICATION OF APPEAL mailed to Court of Appeals For the Ninth Circuit and to counsel along with copy of appealed document and docket sheet. (tomg)
6/24/96	47	TIME SCHEDULE ORDER from the US Court of Appeals for the Ninth Circuit CA 96-35648 [46-1] Appellants Transcript Order Form due 7/5/96; Transcripts & Certificate of Record due 8/5/96; Appellants Brief due 9/20/96; Appellees Brief due 10/21/96; Reply Brief due 14 days from Appellees Brief (wri)
6/24/96	48	APPELLANTS NOTICE OF TRANSCRIPT PORTIONS TO BE ORDERED re CA 96-35648; No transcript needed (wri) [Edit date 06/24/96]
6/24/96	49	TRANSCRIPT DESIGNATION AND ORDERING FORM for Plaintiff re appeal CA 96-35648 [46-1]; None ordered (wri) [Edit date 06/24/96]

DATE	DOCKET NUMBER	PROCEEDINGS
7/15/96	50	CERTIFIED COPY OF ORDER from the US Court of Appeals for the Ninth Circuit re CA 96-35648 [46-1] ORDER SETTING ASSESSMENT CONFERENCE on 8/13/96 at 1:00 pm; Conference to be held by telephone unless counsel agree & notify Circuit Mediator that they would prefer to meet in person; see formal 4-page Order (wri) [Entry date 07/16/96]
8/19/96	51	CERTIFIED COPY OF ORDER from the US Court of Appeals for the Ninth Circuit re CA 96-35648 [46-1] This appeal is not selected for inclusion in settlement program; Counsel are requested to contact Circuit Mediator should circumstances develop that might warrant initiation of settlement discussions; Briefing schedule previously established by Court remains in effect (wri)
8/27/96	52	CERTIFICATE OF RECORD transmitted to US Court of Appeals for the Ninth Circuit re appeal CA 96-35648 [46-1] filed by Blue Fox, Inc. on 6/4/96. (tomg)
2/26/97	—	CLERK'S RECORD on appeal requested by fax from US Court of Appeals for the Ninth Circuit on 12/31/96 regarding C/A# 96-35648 [46-1] no transcripts memo (clar)
6/4/97	—	CLERK'S RECORD on appeal (original file in one volume, exhibit #21) transmitted to US Court of Appeals for the Ninth Circuit regarding [46-1] C/A #96-35648 (clar)

DATE	DOCKET NUMBER	PROCEEDINGS
9/12/97	—	CLERK'S RECORD on appeal (original file & Doc#21 returned from US Court of Appeals for the Ninth Circuit regarding [46-1] C/A#96-35648 (clar)
12/15/97	53	MANDATE/JUDGMENT from USCA REVERSING in part, AFFIRMING in part AND REMANDING the Decision of the District Court re Appeal filed 6/4/96 [46-1] CA96-35648; costs taxed in the amount of $248.73 against US Army (tely) [Entry date 12/18/97] [Edit date 12/18/97]
12/30/97	54	RECORD OF ORDER by Honorable Helen J. Frye Parties are to report in writing by 1/30/98 the status of the case & how they wish to proceed on remand (counsel notified) Court Rptr none (tely) [Entry date 12/31/97]
1/30/98	55	PLAINTIFFS STATUS REPORT FOLLOWING REMAND [55-1] (kirk)
2/2/98	56	RECORD OF ORDER by Honorable Helen J. Frye: USA to report to the court if it petitioned for certiorari & how it wishes to proceed; USA to report to the court by 3/20/98 (counsel notified) (kirk)

UNITED STATES COURT OF APPEALS
FOR THE NINTH CIRCUIT

No. 96-35648

BLUE FOX INC., A WASHINGTON CORPORATION,
PLAINTIFF-APPELLANT,

v.

SMALL BUSINESS ADMINISTRATION,
THE UNITED STATES ARMY, DEFENDANTS-APPELLEES

DOCKET ENTRIES

DATE	PROCEEDINGS
6/18/96	DOCKETED CAUSE AND ENTERED APPEARANCES OF COUNSEL. CADS SENT (Y/N): n. setting schedule as follows: appellant's designation of RT is due 6/14/96; appellee's designation of RT is due 6/24/96, ; appellant shall order transcript by 7/5/96; court reporter shall file transcript in DC by 8/5/96, ; certificate of record shall be filed by 8/12/96; appellant's opening brief is due 9/20/96; appellees' brief is due 10/21/96, ; appellants' reply brief is due 11/4/96; [96-35648] (ft)
6/18/96	Filed attorney for Appellant Civil Appeals Docketing Statement served on 6/4/96 (to CONFATT) [96-35648] [96-35648] (ft)

DATE	PROCEEDINGS
6/24/96	Received Appellant Blue Fox Inc notice of designation of reporter's transcript. (CASEFILE) [96-35648] (sm)
7/8/96	Filed order CONFATT (lw) Case referred to Confatt for assessment conference only. Conference to be held by telephone on 8/13/96 at 1:00 p.m. Pacific Time. The case will be processed through the Settlement Program's SEATTLE OFFICE. The existing briefing schedule remains in effect. [96-35648] (sm)
8/15/96	Filed order CONFATT (CG) The appeal is not selected for inclusion in the settlement program. Counsel are requested to contact the Circuit Mediator should circumstances develop that might warrant the initiation of settlement discussions. The briefing schedule previously established by the court remains in effect. [96-35648] (sm)
9/4/96	Filed certificate of record on appeal RT filed in DC n/a [96-35648] (ft)
9/11/96	14 day oral extension by phone of time to file Appellant brief. [96-35648] appellants' brief due 10/4/96; appellees' brief due 11/4/96; optional reply brief is due 14 days from service of the answering brief. (mag)

DATE	PROCEEDINGS
10/8/96	Filed original and 15 copies Appellant Blue Fox Inc opening brief (Informal: n) 21 pages and five excerpts of record in 1 volumes; served on 10/4/96 (96-35648] (sm)
10/30/96	14 day oral extension by phone of time to file Appellee Small Business Admin, Appellee U.S. Army's brief. [96-35648] appellees' brief due 11/18/96 for U.S. Army, for Small Business Admin; the optional reply is due 14 days thereafter. (clp)
11/19/96	Received orig. 15 copies Small Business Admin, U.S. Army's brief of 22 pages and 1 volume of supplemental excerpts of record; served on 11/18/96 deficient: brief does not contain a brief format certification. Excerpts should be bound on left hand side. Response to brief deficiency notice due 12/3/96 (sm)
11/27/96	Received Appellees Small Business Admin. and U.S. Army satisfaction of (minor) brief deficiency. (brief format certification and excerpts bound on left hand side) [96-35648] (sm)
11/27/96	Filed original and 15 copies appellee Small Busines. Admin. and U.S. Army's 22 pages brief, 1 Exc. vols; served on 11/18/96 [96-35648] (sm)

DATE	PROCEEDINGS
12/9/96	Received orig. 15 copies Blue Fox Inc's reply brief (Informal: n) of 19 pages; served on 12/5/96 deficient no brief format certification. Notified counsel. Response to brief deficiency notice due 12/23/96; (sm)
12/16/96	Received Appellant Blue Fox Inc's satisfaction of (major) brief deficiency, served on 12/13/96 (brief format certification) [96-35648] (sm)
12/16/96	Filed original and 15 copies Blue Fox Inc reply brief, (Informal: n) 19 pages; served on 12/5/96 (re-docketed by hh) [96-35648] (hh)
2/20/97	Calendar check performed [96-35648] (dj)
5/5/97	Calendar material being prepared. [96-35648] (mw)
5/7/97	CALENDARED: Portland July 10, 1997 9:00 a.m. [96-35648] (mw)
7/10/97	ARGUED AND SUBMITTED TO Warren J. FERGUSON, Stephen R. REINHARDT, Pamela A. RYMER [96-35648] (jlb)

DATE	PROCEEDINGS
8/25/97	FILED OPINION: REVERSED IN PART, AFFIRMED IN PART, AND REMANDED. Blue Fox is entitled to its costs on appeal. (Terminated on the Merits after Oral Hearing; Affirmed (in part) and Reversed (in part); Written, Signed, Published. Warren J. FERGUSON, author; Stephen R. REINHARDT; Pamela A. RYMER, concurring in part and dissenting in part.) FILED AND ENTERED JUDGMENT. [96-35648] (hh)
9/9/97	Filed Appellant Blue Fox Inc bill of costs for $248.73, served on 9/4/97 [96-35648] (crw)
10/9/97	[3319683] Filed original and 40 copies Appellee U.S. Army petition for rehearing with suggestion for rehearing en banc; 15 p.pages, served on 10/8/97 (PANEL AND ALL ACTIVE JUDGES) [96-35648] (hh)
10/9/97	Rec'd notice of appearance of Mary K. Doyle and Barbara C. Biddle as atty for aples Small Business Admin. and the U.S. Army. (CASEFILES) [96-35648] (hh)
11/7/97	Filed order (Warren J. FERGUSON, Stephen R. REINHARDT, Pamela A. RYMER,): . . . The petition for rehearing is DENIED and the suggestion for rehearing en banc is REJECTED. [96-35648] (hh)

DATE	PROCEEDINGS
11/24/97	Filed Appellant Blue Fox Inc.'s motion for attorney(s)' fees in the amount of $51,766.53; served on 11/21/97 (3346573] (to PANEL) [96-35648] (hh)
12/5/97	Filed aple U.S. Army's motion for ext of time (to file response to motion for atty's fees); served on 12/4/97 (to PANEL) [3354555] (hh)
12/9/97	MANDATE ISSUED. Costs are taxed against aple U.S. Dept. of the Army in the amt of $248.73. [96-35648] (hh)
12/17/97	Filed order (Warren J. FERGUSON, Stephen R. REINHARDT, Pamela A. RYMER,): The motion of the govt filed 12/5/97 for an ext of time to file its response to aplt's request for atty fees and expenses is GRANTED. [96-35648] (hh)
12/22/97	Filed Appellees Small Business Admin. and U.S. Army's opposition to motion for attorney's fees and costs; served on 12/22/97 (to PANEL) [96-35648] (hh)
1/30/98	Received letter from the Supreme Court dated 1/27/98 re: application for an extension of time within which to file a petition for a writ of cert . . . extended the time to and including 3/7/98. [96-35648] (hh)

DATE	PROCEEDINGS
3/2/98	Received letter from the Supreme Court dated 2/26/98 re: application for a further extension of time within which to file a petition for a writ of ~~cert~~...extended the time to and including 4/6/98. [96-35648] (hh)
4/6/98	Received Herbert C. Sundby for Appellees U.S. Army, et al., letter dated 4/3/98 re: The solicitor general, U.S. DOJ, has decided to petition for writ of cert with the Supreme Court. The petition will be filed Monday, 4/6/98. I will advise the court as soon as the SC decides whether or not to accept the petition. (CASEFILES) [96-35648] (hh)
4/16/98	Received notice from Supreme Court: petition for certiorari filed Supreme Court No. 97-1642 filed on 4/6/98 [96-35648] (hh)
7/1/98	Received notice from Supreme Court, petition for certiorari GRANTED on 6/26/98. Supreme Court No. 97-1642 (hh)

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Civil #95-612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS ADMINISTRATION; AND THE UNITED STATES DEPARTMENT OF THE ARMY,
DEFENDANTS

DEFENDANT UNITED STATES ARMY'S ANSWER TO PLAINTIFF 'S FIRST SET OF INTERROGATORIES

INTERROGATORY NO. 1: State the reason(s), if any there be, why no Miller Act bond was in place for Plaintiff's protection under Contract Number DAEA 08-93-C-0056.

ANSWER: The reason is not clear from the record. It may have been because the contract was classified under Standard Industrial Classification (SIC) Code 4813, telephone communications, and that government personnel did not require the payment bond because the primary SIC code was determined to be 4813, a non-construction SIC code. It may also have been because the government believed it could waive the Miller Act requirements.

INTERROGATORY NO. 2: State the total amount of money paid to Verdan Technology, Inc. ("Verdan") under Contract Number DAEA08-93-C-0056.

ANSWER: $347,481.61.

INTERROGATORY NO. 3: State the date and amount of each payment made to Verdan under Contract Number DAEA08-93-C-0056.

ANSWER: See attached document.

INTERROGATORY NO. 4: State the money, if any, retained by the Army under Contract Number DAEA08-93-C-0056.

ANSWER: None.

INTERROGATORY NO. 5: State the money, if any, paid to or received by Defendant United States Small Business Administration under Contract Number DAEA08-93-C-0056.

ANSWER: None.

INTERROGATORY NO. 6: State whether a contract has been awarded for the completion of Contract Number DAEA08-93-0056 following Verdan's default.

ANSWER: An existing document was modified to include the work under Contract Number DAEA08-93-0056.

INTERROGATORY NO. 7: If a contract has been awarded for the completion of Contract Number DAEA08-93-C-0056 following Verdan's default, state

the amount, if any remaining unpaid under said contract.

ANSWER: The work on the modified contract discussed in the answer to Interrogatory No. 6 has been completed and it appears there will be no unpaid balance upon receipt of the appropriate billings from the contractor.

INTERROGATORY NO. 8: If a contract has not been awarded for the completion of Contract Number DAEA08-93-C-0056 following Verdan's default, state whether funding is available for such a contract.

ANSWER: An existing contract was modified to include the work under Contract Number DAEA08-93-0056. The funding for performance of the installation of government furnished telecommunications equipment came from the funds which had not been disbursed for Contract Number DAEA08-93-0056 and an additional roughly $50,000[ ] which had to be obligated to complete the project.

INTERROGATORY NO. 9: State the date of the contracting officer's final decision, if any assessing excess costs of reprocurement against Verdan following its default under Contract Number DAEA08-93-C-0056.

ANSWER: There has been no final decision by the contracting officer assessing excess costs of reprocurement against Verdan following its default under Contract Number DAEA08-93-C-0056.

VERIFICATION

I, *Hildegard Choate*, am the *contracting officer*, for the Department of Army, one of the defendants named herein, have read the foregoing answers to Plaintiff's First Set of Interrogatories to Defendant Army, know the contents thereof and believe the same to be true and correct, and acknowledge that I am authorized to execute these interrogatories on behalf of the Department of Army.

I declare under penalty of perjury in accordance with 28 U.S.C. § 1746, that the statements made in this verification are true and accurate to the best of my knowledge and belief.

Signed this 21st day of September, 1995.

/s/ HILDEGARD CHOATE

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Case No. CV95-00612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS ADMINISTRATION; AND THE UNITED STATES DEPARTMENT OF THE ARMY,
DEFENDANTS

AFFIDAVIT OF DAVID L. LUMLEY

I, David L. Lumley, being duly sworn, depose and say as follows:

1. I am president of Blue Fox, Inc. ("Blue Fox"), a Washington Corporation engaged in the construction industry. I make this Affidavit in support of Plaintiff's Motion for Summary Judgment.

2. I am personally familiar with Contract Number DAEA08-93-C-0056, the contract which is the subject of this lawsuit. Pursuant to the Small Business Administration's 8(a) program, the Department of the Army awarded Contract Number DAEA08-93-C-0056 to the SBA on or about September 29, 1993. The SBA in turn awarded the contract to Verdan Technology, Inc. ("Verdan"), an eligible 8(a) contractor.

3. Under Contract Number DAEA08-93-C-0056, Verdan was required to install a Government Fur-

nished Equipment (GFE) AT&T Definity G1 Electronic Switching System (ESS) at Umatilla Army Depot, Oregon. Item 0001 of the Verdan contract required construction of a 20 foot by 25 foot (500 square foot) concrete block building with concrete foundation and gable roof in which to house the switching system. The contractor was also required to install a 6 foot by 20 foot cable vault underneath the new building, and provide all electrical, fire suppression/detection systems, air conditioning/heating systems, and structural details of the new building.

4. On October 14, 1993, Verdan and Blue Fox entered into a General Contract Agreement, attached hereto as Exhibit 1. Under this subcontract, Blue Fox agreed to perform the construction portion of Contract Number DAEA08-93-C-0056, including the construction work described in paragraph 3 above, for a total price of $185,522.80. A subsequent change order increased the price to $186,347.80. Blue Fox's subcontract price represented approximately 43% of the $430,879.00 total price of the contract between SBA and Verdan.

5. Blue Fox satisfactorily completed all work under the subcontract. Blue Fox had substantially completed this work by May, 1994. However, Verdan failed to pay Blue Fox $46,536.14 which is still owing for construction work performed by Blue Fox at the Umatilla Army Depot.

6. I subsequently learned that the Army terminated Verdan's contract for default. Officials at the Umatilla Army Depot informed me that the termination related to Verdan's failure to complete Item

0002 of the contract, and was unrelated to any work provided by Blue Fox.

7. Following Verdan's default, during the spring of 1995, Blue Fox returned to Umatilla and performed minor clean up work on the project. Blue Fox did this to ensure that Verdan could not argue that any part of the job was left undone by Blue Fox.

8. On January 17, 1995, Blue Fox obtained a default judgment in the Tribal Court of the Yakima Indian Nation against Verdan Technologies, Inc., and its officials William J. Reubel, Jr. and Gary C. Andrews, Tribal Court Case No. C-94-77. Blue Fox has collected no part of said judgment. Existing liens against Verdan Technologies, Inc., in the amount of $248,000 precede Blue Fox's judgment. Existing liens against William J. Reubel, Jr. and Gary C. Andrews far exceed said individuals' net worths.

9. At the time Blue Fox agreed to be the construction subcontractor on Verdan's contract, Blue Fox was an experienced federal construction contractor, and had performed such contracts both as prime and subcontractor. At all material times, I believed that Contract Number DAEA08-93-C-0056 was subject to the Miller Act requirement that the prime contractor on federal construction contracts post a bond to ensure that all subcontractors get paid. I further believed that Blue Fox was entitled to the protection of a Miller Act bond on the Verdan contract.

10. Blue Fox was unaware, until approximately June 15, 1994, that no Miller Act bond was in place for its protection. Until such time, Blue Fox had believed such a bond was in place, in part due to

Verdan's insistence that Blue Fox itself put up a bond to protect lower tier subcontractors and suppliers.

11. On June 15, 1994, Blue Fox promptly informed both the Army and the SBA in writing that Blue Fox was an unpaid subcontractor, and requested that Verdan's payment be suspended or reduced until Blue Fox was fully paid. I earlier called the Army on May 24, 1994, and informed them that Blue Fox had not been paid in the past month. I also sent to the Army a copy of Blue Fox's May 24, 1994, letter to Verdan complaining of non-payment.

12. Blue Fox, Inc. was never contacted by anyone in accordance with the Miller Act bond waiver provisions contained in 13 CFR § 124.305. These provisions require, in relevant part, that an 8(a) contractor which receives an exemption from Miller Act bonding requirements, must notify and obtain a written acknowledgment from persons supplying the 8(a) contractor with materials or labor.

13. Had Blue Fox been informed that no Miller Act bond was in place for its protection, Blue Fox would not have agreed to perform the work on the Verdan contract.

/s/ DAVID L. LUMLEY
DAVID L. LUMLEY

SIGNED AND SWORN to before me this 9th day of February, 1996.

/s/ SIGNATURE ILLEGIBLE
Notary Public of Washington
My commission expires:

CONVERSATION RECORD DATE: 24 May 94

Name of Person contacted or in contact with you:
Gary Andrew
Organization: Verdan Technology
Telephone: 206-848-1843

SUMMARY:

1. Called the contractor requesting status of the certified letter sent to them 10 May 94 (faxed same day) pertaining to the delinquent CDRL's. Also advised him that the sub-contractor has complained to the COR that they have not received payment for the work performed. Dave Lumby of Blue Fox (509-848-2773) called advising that he had not been paid in the last month.

2. Gary advised that he would respond to the letter in the next couple days. Advised he was behind in his payment and would make payment soon. He also advised that he was presently working on CDRL 4 and expected to mail it next day or two. CDRL's 3 & 5 by mid-next week.

3. Called SBA, Linda Sawyers to inform her that Verdan was not responding to our letter and requested any assistance she could provide. This was in response to her call of 18 May addressing the copy of 10 May letter they had received.

4. Called the COR Dean McKay DSN 790-5276 and informed him of the contractor's responses to the

phone conversation. Requested he keep me advised on the receipt of the CDRL's.

/s/ JB
JOANNE BONNER
Contractor Specialist

[handwritten note:] June 2 Subcontractor called again regarding payment—

Contractor - Verdan Gary Andrews advised me that the sub hasn't completed all his tasks but he would send a copy of invoice to us that he intended to process soon. Joanne

Blue Fox, Inc.
GENERAL CONTRACTOR
BLUEFI*151QQ DMBE Certified

500 NORTH WILDWOOD ROAD * WAPATO, WASHINGTON 98951
* (509) 848-2773

May 26, 1994

Verdan Technology Inc.
16715 Meridian East Building G
Puyallup, Wa. 98373

Re: DCO Bldg. & Vaults, Umatilla, Or.

Attn: William Reubel

We have completed all items of our contract with the exception of the as-built drawings and electric. The as-built drawings have been red lined and Barbara Jean Studstill has copies. Level 1 as-built will be completed and delivered within one week to your office. Our electrician is holding off completion of the electrical until the battery system has been delivered which was requested three weeks ago, otherwise we would be 100% complete.

A final inspection was conducted on May 25, 1994 and all items found to be incomplete will be completed on May 26, 1994. Should you desire to conduct another final inspection please schedule it for May 31, 1994 through June 3, 1994. Failure to schedule a final

inspection with us and the owner during this time will demonstrate that you accept the work in its entirely and that we are 100% complete.

Contract Amount	$185,522.80
Change Order	825.00
Total Contract	$186,347.80
Paid to Date	120,884.68
Balance Due	$ 65,463.12
Unpaid Previous Interest	1,497.45
Last 30 Days Interest	643.62
TOTAL DUE	$ 67,604.19

Blue Fox, Inc. expects final payment plus retention by June 30, 1994. Please inform us in writing of any item needed to be corrected or completed no later than June 3, 1994. Failure to do so will show that you have accepted our performance of the work in accordance to our General Contract Agreement.

Sincerely,

/s/ DAVID L. LUMLEY

David L. Lumley, President
Blue Fox Inc.

c.c. Dean C. McKay
Chief of Information Management
Unatilla Army Depot

Blue Fox, Inc.
GENERAL CONTRACTOR
BLUEFI*151QQ DMBE Certified

500 NORTH WILDWOOD ROAD * WAPATO, WASHINGTON 98951
* (509) 848-2773

June 15, 1994

Department of the Army
United States Army Information Systems Command
Office of Acquisition
134 Mal Brouk Street
Fort Ritchie, Maryland 21719-4020

Attn: Command Support Acquisition Branch
Mary Ann Keyser, Contracting Officer

Re: Verdan Technology, Inc. Contract No. DAEA08-93-C-0056

Ms. Keyser,

Blue Fox, Inc. is a subcontractor to Verdan Technology, Inc. of Puyallup, Washington. We constructed a DCO building, installed telephone vaults, and duct lines by Umatilla, Oregon at the Army Depot. We were substantially complete on or about April 29, 1994. The only item left to complete is the electric which has been held up due to the connecting of the batteries which are to be supplied by Verdan, Inc. The request to have the batteries on site was made prior to our electrical installation on May 24, 1994 and we believe they are still not on site otherwise we would be 100% complete.

On May 24, 1994, Gary Andrews of Verdan Tech. indicated that Verdan had not received payment as of yet for work that we had completed. On April 25, 1994 we submitted a bill for $42,907.93 plus interest which was delinquent from previous months for a total of 98% complete. (See attached) On May 26, 1994 we sent a letter by registered mail and then by fax on May 31, 1994 in an attempt to resolve any disputes or problems. Phone calls to Verdan's office has also been made but William Reubel and Gary Andrews are never available and have yet to return our phone calls.

We believe:

P.L. 100-496, The prompt payment act should apply here, and request that FAR 32.503-6 suspension or reduction of payment be administered by your agency until this is resolved. Would you please confirm that Verdan Technology does not have a bond on this project and what measures we may take to secure payment? Please respond to us in writing as soon as possible.

Thank you,

/s/ DAVID L. LUMLEY

David L. Lumley, President
Blue Fox Inc.

c.c. William J. Reubel, Jr.
Verdan Technology, Inc.

c.c. Linda Sawyer
SBA

VERDAN TECH. INC. — DAEA08-93-C-0056

TAB SUMMARY - PART 5

DOCUMENTS

FISCAL SECTION

INVOICES

MATERIAL INSPECTION AND RECEIVING REPORT
PUBLIC VOUCHER FOR PURCHASES SERVICES
OTHER THAN PERSONAL (SF 1034)

Basic $430,870.00
P00004 1,513.23

PAYMENT	DOV# INVOICE MOD	COST AFTER DISCOUNTS	PAYMENT DATES	BALANCE
ONE	202763 VTI 1001	$19,816.72	10 Dec 93	$432,392.13 412,575.41
TWO	203557 VTI 1002	$55,991.44	10 Jan 94	356,583.97
THREE	204710 VTI 1003	$31,905.66	17 Feb 94	324,678.31
FOUR	205081 VTI 1004	$40,072.01	28 Feb 94	284,606.30
FIVE	205514 VTI 1005	$39,213.80	15 Mar 94	245,392.50
SIX	206764 VTI 1006	$74,349.65	22 Apr 94	171,042.85
SEVEN	209801 VTI 1007	$54,561.27	05 Jul 94	116,481.58
EIGHT	211770 VTI 1008	$30,073.06	25 Aug 94	86,408.52
NINE	200320 VTI 1009	$ 1,498.00	11 Oct 94	84,910.52
	DISCOUNTS TAKEN:			
ONE	$ 200.12			
TWO	565.67			
THREE	322.28			
FOUR	404.77			
FIVE	396.10			
SIX	751.01			
SEVEN	551.12			
EIGHT	303.77			
NINE	15.13			
TOTAL	$3,509.92			

ISCCA FORM 7 CARD E

July 12, 1995
/s/ J.R. LaChance

[seal omitted] [seal omitted]

DEPARTMENT OF THE ARMY
UNITED STATES ARMY INFORMATION
SYSTEMS COMMAND
OFFICE OF ACQUISITION
134 MALBROUK STREET
FORT RITCHIE, MARYLAND 21719-4020

REPLY TO ATTENTION OF

September 15, 1994

Office of Acquisition

U.S. Small Business Administration
Seattle District Office (Ms. Sawyers)
915 Second Avenue, Room 1792
Seattle, Washington 98174-1088

Dear Ms. Sawyers:

Reference Contract Number DAEA08-93-C-0056 (1013-93-2-00102), Umatilla Switch Installation, Hermiston, Oregon.

Several problems have surfaced with the referenced contract for which your assistance is requested. The concerns with the progress of Verdan Technology, Incorporated have escalated to the level where our customer has requested that we issue a cure notice to the contractor. It is currently our intent to comply with their request. If you nonconcur with this plan of

action, it is requested that you provide justification as to why a cure notice should not be issued.

The most severe items of concern are as follows:

a. Many of the Contract Data Requirements List (CDRL) submissions are delinquent. We issued a letter to Verdan on 20 July 1994 which identified those CDRL items which were delinquent and directed the contractor to take immediate action to correct the problems. A request that they respond with their intentions to improve the delivery schedule was issued with a suspense of 1 August 1994. We have not received the requested information from them at this time. Several of the CDRLs have been delivered but many remain delinquent.

b. The contract contains the requirement to provide government personnel with training in the operations of the new switch, to be administered by AT&T, the manufacturer of the switch. The requirement for the training has been completed but the contractor who provided the training has not been paid. That contractor has contacted the government personnel on several occasions concerning payment for their services.

c. We have been contacted by a subcontractor, Blue Fox, Inc., concerning nonpayment. Although we have no privity of contract with Blue Fox, we are concerned when a contractor fails to pay his subcontractors in a timely manner.

d. The monthly COR reports for the period of April through September 15 are rated as unsatisfac-

tory based on the above information plus an indication that the grounding in the DCO is incorrect.

e. We have made numerous attempts to reach the contractor telephonically, including leaving messages on the answering machine, but have been unsuccessful in our attempts.

We are receiving considerable pressure from our customer to resolve the problems with Verdan as soon as possible, therefore, your expeditious response is needed. If you have questions or further information is needed, please contact the contract administrator, Kathy Robinson, (717) 878-5597.

/s/ MARY ANN KEYSER
MARY ANN KEYSER
Contracting Officer

AMENDMENT OF SOLICITATION/MODIFICATION OF CONTRACT

CONTRACT ID CODE: J | PAGE OF PAGES: 1 | 2

2. AMENDMENT/MODIFICATION NO.	3. EFFECTIVE DATE	4. REQUISITION/PURCHASE REQ. NO.	5. PROJECT NO. (If applicable)
P00006	03/17/95	w47g22-2219-8600	ATS- 9043

6. ISSUED BY	CODE	7. ADMINISTERED BY (If other than item 6)	CODE
USAISC CONTRACTING OFFICE ATTN: ASQN-A BUILDING 61801, ROOM 2433 FORT HUACHUCA, AZ 85613-5000 JR LaCHANCE C2B (602)538-7472			

8. NAME AND ADDRESS OF CONTRACTOR (No., street, county, State and ZIP Code) Vendor ID: 00013069	9A. AMENDMENT OF SOLICITATION NO.
DYNAMIC CONCEPTS INC. 2176 WISCONSIN AVE NW WASHINGTON DC 20007-	9B. DATED (SEE ITEM 11)
	10A. MODIFICATION OF CONTRACT/ORDER NO. DABA08-94-D-0004
	10B. DATED (SEE ITEM 13) 03/09/94
CODE 7V963 FACILITY CODE	

11. THIS ITEM ONLY APPLIES TO AMENDMENTS OF SOLICITATIONS

☐ The above numbered solicitation is amended as set forth in Item 14. The hour and date specified for receipt of Offers ☐ is extended, ☐ is not extended.
Offers must acknowledge receipt of this amendment prior to the hour and date specified in the solicitation or as amended, by one of the following methods: (a) By completing Items 8 and 15, and returning _____ copies of the amendment; (b) By acknowledging receipt of this amendment on each copy of the offer submitted; or (c) By separate letter or telegram which includes a reference to the solicitation and amendment numbers. FAILURE OF YOUR ACKNOWLEDGMENT TO BE RECEIVED AT THE PLACE DESIGNATED FOR THE RECEIPT OF OFFERS PRIOR TO THE HOUR AND DATE SPECIFIED MAY RESULT IN REJECTION OF YOUR OFFER. If by virtue of this amendment you desire to change an offer already submitted, such change may be made by telegram or letter, provided each telegram or letter makes reference to the solicitation and this amendment, and is received prior to the opening hour and date specified.

12. ACCOUNTING AND APPROPRIATION DATA (If required)
see block 14

13. THIS ITEM APPLIES ONLY TO MODIFICATIONS OF CONTRACTS/ORDERS, IT MODIFIES THE CONTRACT/ORDER NO. AS DESCRIBED IN ITEM 14.

00	A. THIS CHANGE ORDER IS ISSUED PURSUANT TO: (Specify authority) THE CHANGES SET FORTH IN ITEM 14 ARE MADE IN THE CONTRACT ORDER NO. IN ITEM 10A.
	B. THE ABOVE NUMBERED CONTRACT/ORDER IS MODIFIED TO REFLECT THE ADMINISTRATIVE CHANGES (such as changes in paying office, appropriation data, etc.) SET FORTH IN ITEM 14, PURSUANT TO THE AUTHORITY OF FAR 43.103 (b).
	C. THIS SUPPLEMENTAL AGREEMENT IS ENTERED INTO PURSUANT TO AUTHORITY OF:
X	D. OTHER (Specify type of modification and authority) FAR 52.243-1 Changes Fixed Price, Alt II & DCI ltr 2-13-95

E. IMPORTANT: Contractor ☒ is not, ☐ is required to sign this document and return _____ copies to the issuing office.

14. DESCRIPTION OF AMENDMENT/MODIFICATION (Organized by UCF section headings, including solicitation/contract subject matter where feasible.)

a. Modification P00001 block 14.3 is revised as follows:
The total amount of the contract is changed from 857,125.21 to 8151,836.02, an increase of 894,710.81. Total obligated amount remains unchanged and is 857,125.21.

b. Modification P00005 block 14 is revised as follows:
This modification reserves subject to availability of funds for FY 95 in the amount of 883,200.00. The total obligated amount

Except as provided herein, all terms and conditions of the document referenced in Item 9A or 10A, as heretofore changed, remains unchanged and in full force and effect.

15A. NAME AND TITLE OF SIGNER (Type or print)	16A. NAME AND TITLE OF CONTRACTING OFFICER (Type or print) JEROME MILES	
15B. CONTRACTOR/OFFEROR: Fabio Alfonso (Signature of person authorized to sign)	15C. DATE SIGNED 3/22/95	16B. UNITED STATES OF AMERICA BY Jerome Miles (Signature of Contracting Officer)	16C. DATE SIGNED 22 Mar 95
---	---	---	---

NSN 7540-01-152-8070
PREVIOUS EDITION UNUSABLE

30-105

STANDARD FORM 30 (REV. 10-83)
Prescribed by GSA
FAR (48 CFR) 53.243

BEST AVAILABLE COPY

attachment for complete breakdown of labor, equipment, and other direct costs. DCI shall not use it's current switch maintenance labor force to complete this effort, if that use impacts on DCI's switch maintenance responsibilities.

c. Remove Contract Section B, page B-35, and replace it with the attached revised page B-35. Changes are denoted by vertical lines down the right margin.

d. Total contract amount is hereby increased by $126,772.78, from $140,325.20 to $267,097.98.

e.	obligated amount	Funds SAF:
FY 95	$209,972.78	11,510.81
Total:	$267,097.99	11,510.81

f. Accounting and Appropriation Data:

2132020 000000 33802 393100A4000 2572 1AC043 00000000000000
AEZ900 S18049 $60,582.13

2132020 000000 33802 398610A1000 2572 1AC013 00000000000000
AEZR00 S18049 $20,818.60

2152020 000000 33802 432100A1000 25CZ 1C2015 00000000000000
AAZJ00 S18049 $45,372.05

SECTION B

NO.	DESCRIPTION OF SUPPLY/SERVICE	UNIT	QUANTITY		FACTOR (B)	LABOR RATE (C)	EXTENDED AMOUNT (A)*(B)*(C)	ESTIMATED TOTAL BY FISCAL YEAR
				SOLICITATION NO. DAEA08-94-R-0001				
				UMATILLA AD				
0011CN	Provide cable splices in increments of 25 for enhancements IAW PWS, Atlach. 1	INC	(A)					
			5	FY94	1.1	$24.89	$136.90	$136.90
			RANGE	FY95	1.1	$24.89	$136.90	$136.90
			0-100	FY96	1.1	$24.89	$136.90	$136.90
				FY97	1.1	$24.89	$136.90	$136.90
				FY98	1.1	$24.89	$136.90	$136.90
0011CO	Provide cable splices for Fiber Optic cables for enhancements IAW PWS, Atlach. 1	EACH	(A)					
			5	FY94	1.5	$24.89	$186.68	$186.68
			RANGE	FY95	1.5	$24.89	$186.68	$186.68
			0-25	FY96	1.5	$24.89	$186.68	$186.68
				FY97	1.5	$24.89	$186.68	$186.68
				FY98	1.5	$24.89	$186.68	$186.68
0011CP	Provide replacement telephone poles IAW the PWS during normal duty hours	EACH	(A)					
			5	FY94	7	$24.89	$871.15	$871.15
			RANGE	FY95	7	$24.89	$871.15	$871.15
			0-25	FY96	7	$24.89	$871.15	$871.15
				FY97	7	$24.89	$871.15	$871.15
				FY98	7	$24.89	$871.15	$871.15
0014	Complete Install of AT&T Definity switch IAW SOW ASQB-COP-NE 04C-059-92							32,108.10
	ESTIMATED TOTAL FROM PROPOSAL FY94						$6,421.62	$126,772.78
	ESTIMATED TOTAL FROM PROPOSAL FY95						$6,421.62	
	ESTIMATED TOTAL FROM PROPOSAL FY96						$6,421.62	
	ESTIMATED TOTAL FROM PROPOSAL FY97						$6,421.62	
	ESTIMATED TOTAL FROM PROPOSAL FY98						$6,421.62	
	TOTAL PRICE FOR ALL FISCAL YEARS						$32,108.10	$32,108.10

MATERIAL INSPECTION AND RECEIVING REPORT

1. PROC. INSTRUMENT IDEN. (CONTRACT)	(ORDER) NO	6 INVOICE	7 PAGE	OF
DAEA08-94-C-0004 Mod P0000		T6	1	3
			8 ACCEPTANCE POINT	

2. SHIPMENT NO	3. DATE SHIPPED	4. B/L	5 DISCOUNT TERMS
	27 Jul 95	TCN N/A	N/A

9. PRIME CONTRACTOR CODE	10. ADMINISTERED BY CODE
Dynamic Concepts inc. 2176 Wisconsin Ave., N.W. Washington, D.C. 20007	USAISC Contracting Office Attn: ASQH-A, Jack LaChance Bldg 61801, Room 2430 Fort Huachuca, Arizona
11. SHIPPED FROM (if other than 9) CODE FOB:	12. PAYMENT WILL BE MADE BY CODE
	Defense Finance and Accounting Servic Rock Island Operating Location Bldg 68, Attn: DFAS-RI Vendor Pay Rock Island, IL 61299-8000
13. SHIPPED TO CODE	14. MARKED FOR CODE
Commander, Umatilla Army Depot Attn: SDSTE-UA-IMO Hermiston, OR 97838	

15. ITEM NO.	16. STOCK/PART NO. DESCRIPTION (Include number of shipping container - type of container - container number)	17. QUANTITY SHIP/REC'D *	18. UNIT	19. UNIT PRICE	20. AMOUNT
	REFER TO ATTACHED CLIN 0014				
A	Labor A1, A2, A3, & A4				$18,880.00
B	EQUIPMENT B1, B2, B3, B4, B5, & B6				$32,070.00
C	ODC C1, C2, C3, C4, &C5				$55,896.00
D	G & A 13%				$13,889.98
E	Profit 5%				$ 6,036.80
F	Sub Total				$126,772.7

21. PROCUREMENT QUALITY ASSURANCE		22. RECEIVER'S USE
A. ORIGIN ☐ POA ☐ ACCEPTANCE of listed items has been made by me or under my supervision and they conform to contract, except as noted herein or on supporting documents.	B. DESTINATION ☐ POA ☐ ACCEPTANCE of listed items has been made by me or under my supervision and they conform to contract, except as noted herein or on supporting documents.	Quantities shown in column 17 were received in apparent good condition except as noted.
DATE:	DATE: 8-23-95	DATE RECEIVED
SIGNATURE OF AUTH GOVT REP	SIGNATURE OF AUTH GOVT REP	SIGNATURE OF AUTH GOVT REP
TYPED NAME AND OFFICE	TYPED NAME AND TITLE	TYPED NAME AND OFFICE
		* If quantity received by the Government is the same as quantity shipped, indicate by (✓) mark. If different, enter actual quantity received below quantity shipped and encircle.

23. CONTRACTOR USE ONLY

OPTIONAL FORM 08 (7-90)

FAX TRANSMITTAL # of pages ▶ 3

To	From
USAISC CONTRACTING	DEAN McKAY
Dept./Agency	Phone #
JOHN STUELZLE	790-5276
Fax #	Fax #
879-7471	790-5250

NSN 7540-01-317-7368 5099-101 GENERAL SERVICES ADMINISTRATION

ORIGINAL

STD. FORM 250 REPLACES EDITION OF 1 AUG 87 WHICH MAY BE USED

DEPOSIT TICKET

DYNAMIC CONCEPT

SIGNET BANK

DATE 10-10 95

CURRENCY

COIN

CHECKS AND SUCH NUMBERED

DOLLARS | CENTS

TOTAL ITEMS

$ 139316 87

⑆500000801⑆ ⑈667-00 27835⑈

United States Treasury 15-61/000

ARMY FINANCE

5061-00654560

Check No.

FORT RITCHIE, MARYLAND

200120

4560

10/05/9

Pay to

***************ONE---TWO--FIVE--FOUR--FOUR DOLLARS 09 CENTS

DYNAMIC CONCEPTS INC
C/O SIGNET BANK N.A.
PO BOX 2329
MERRIFIELD VA 22116-2329

****** $12,844.0

VOID AFTER ONE YEAR

⑈506112⑈ ⑆000000518⑆ 006345603⑈

United States Treasury 15-61/000

ARMY FINANCE

6410-60316332

Check No.

ROCK ISLAND ARSENAL, ILLINOIS

Pay to the order of 200056

6332

10/02/95

**************ONE---TWO---SIX-SEVEN-SEVEN---TWO DOLLARS 78 CENTS

DYNAMIC CONCEPTS, INC.
C/O SIGNET BANK N.A.
PO BOX 2329
MERRIFIELD VA 22116-2329

****** $126,772.78

VOID AFTER ONE YEAR

O.R Love

⑈641108⑈ ⑆000000518⑆ 603166332⑈

PURCHASE REQUEST AND COMMITMENT
For use of this form, see AR 37-108; the proponent agency is USAFAC.

PURCHASE INSTRUMENT NO.	REQUISITION NO.	DATE	PAGE 1 OF 1 PAGES
	W67G22-2219-8600	04 Aug.1995	

TO: Purchasing and Contracting Officer
THRU: Office of Acquisition
FROM: DOIM, UMDA, Hermiston, OR. 97838

It is requested that the supplies and services enumerated below or on attached list be:

PURCHASED FOR: Umatilla Depot Activity, HERMISTON, OR. 97838
DELIVERED TO: Dean C. McKay
NOT LATER THAN (Date):

The supplies and services listed below cannot be secured through normal supply channels or other Army supply sources in the immediate vicinity, and their procurement will not violate existing regulations pertaining to local purchases for stock, therefore, local procurement is necessary for the following reason: (Check appropriate box and complete item.)

NAME AND TELEPHONE NO. OF PERSON TO CALL FOR ADDITIONAL INFORMATION
Dean C. McKay, C. Info. Mngt.
DSN 790 5276

	LOCAL PURCHASE AUTHORIZED AS THE NORMAL MEANS OF SUPPLY FOR THE FOREGOING BY		REQUISITIONING DISCLOSES NONAVAILABILITY OF ITEMS AND LOCAL PURCHASE IS AUTHORIZED BY
	EMERGENCY SITUATION PRECLUDES USE OF REQUISITION CHANNELS FOR SECURING ITEM		

ITEM	DESCRIPTION OF SUPPLY OR SERVICES	QUANTITY	UNIT	ESTIMATED Unit Price	ESTIMATED Total Cost
	Amendment to Requisition No. W67G22-2219-8600 to read PRLC is submitted to provide FY96 funding for the Administrative Telephone Contract(ATS) Date of Contract: 1 October 95 thru 30 Sept. 96. This requirement is included or provided for in the financial plan for FY96. The accounting classification will be as shown in the acct class block. This statement is not a commitment of funds. CC:G2000 43200 PCN:SUCO14				$96,811

Fund Certification
The supplies and services listed on this request are properly chargeable to the following allotments, the available balances of which are sufficient to cover the cost thereof, and funds have been committed.

ACCOUNTING CLASSIFICATION	AMOUNT
97X4930.AAPG 6P 257G S42037	$96,811

DATE	TYPED NAME AND TITLE OF CERTIFYING OFFICER	SIGNATURE
25Sep95	ROBERT G. NANCARROW C, Program & Budget TEAD	Margaret C Herd

DISCOUNT	
PURCHASE ORDER NUMBER	
DELIVERY SCHEDULE	

THE FOREGOING ITEMS ARE REQUIRED NOT LATER THAN AS INDICATED ABOVE FOR THE FOLLOWING PURPOSE

DATE	TYPED NAME AND GRADE OF INITIATING OFFICER	SIGNATURE
04 Aug.95	J. PATRICK RITCHIE GS-12	Jay Patrick R
DATE	TYPED NAME AND GRADE OF SUPPLY OFFICER	SIGNATURE

Approved by commanding officer or his designee

DATE	TYPED NAME AND GRADE OF COMMANDING OFFICER OR DESIGNEE	SIGNATURE
04 Aug.95	MARIE L. BALDO LTC, QM Commanding	Marie L Baldo

DA FORM 1 AUG 78 3953

PREVIOUS EDITIONS OF THIS FORM WILL BE USED UNTIL EXHAUSTED

22 July 93

MEMORANDUM FOR THE RECORD

Topic: BONDING REQUIREMENTS

I briefly spoke with John Singly on the subject. He mentioned that the SBA in Seattle said that since the SIC code for VERDAN is not a construction type code than the contract would not require bonds even though 25% was construction related. I mentioned that I would like to know a source reference for the amendment guidance. He gave me Mary Jo Witty's no. in the SBA, Seattle office.

I called her and explained the situation. I asked if VERDAN could add their name onto their sub's bonds? and would the surety accept it with VERDAN's name on it?

She mentioned that she knew SBA Bond "specialists" that she could call and that she knows some individuals in sureties who she would call as well.

She said she would call me back after she got more information.

I then called The Office of the Judge Advocate General for the Dept of the Army which is where I need to send the Bonds upon our receipt of them. They said only t VERDAN could get the bonds and that we did not have a contract with VERDAN's subs. She was very adamant about the subject. She kept referring to VERDAN as the prime, but they are not. SBA is

essentially the prime. I don't think she works with many SBA 8(a) companies.

I would like to wait until I hear from Ms Witty, SBA in Seattle.

Everything else is ready to go in the amendment.

/s/ ELIZABETH K. FALER
ELIZABETH K. FALER
Contract Specialist

22 July 1993

Caller: Mary Jo Witty SBA Seattle (206) 553-8539

I received a call from Ms. Witty at 1600 hours. She mentioned that she spoke with the sureties and the bonding specialists in SBA.

I related what the Dept of the Army Judge Advocate's Office had said. She completely disagreed with their recommendations.

Her rationale:

1) Verdan isn't a construction company, but a service one according to it's primary SIC code.

2) Regardless of the price of getting a bond, Verdan probably wouldn't even qualify for a $200,000 bond because of its lack of experience in construction. She mentioned that it has to start on relatively small jobs and after experience it can increase its bond thresholds.

3) Even if it were eligible to get bonds, it would need a bond for the entire contract amount, not just the construction portion.

4) A surety will not accept a sub adding inexperienced Verdan onto a bond with "their" construction company.

Her recommendations:

1) We cannot require Verdan to submit bonds.

2) She recommends that we delete the bonding requirement and therefore the Notice to Proceed section.

3) All we could do, she said, is to highly recommend that the primary, which she called Verdan, have their subcontractor give them a bond for the construction job. She reminded me that we only have privity with the prime.

I recommend that we remove the Bonding Requirements from Section H, delete the notice to proceed verbage and stress bonding between the prime and its sub.

/s/ ELIZABETH K. FALER
ELIZABETH K. FALER
Contract Specialist

3 August 1993

Meeting between Peter Hill (OA Attorney) and Elizabeth Faler

Topic: Bonding Requirement for Umatilla Switch Project

I explained to Peter Hill:

Verdan's Initial Proposal: As mentioned in a previous MFR, upon receiving the solicitation, Verdan asked if they would be permitted to have the subcontractor put Verdan's name on the bond that the sub obtains along with the contract number. I mentioned that this would need to be researched further. I didn't know if a surety would accept such a bond.

The DA Judge Advocate's Office said that they required bonds for construction projects. I mentioned to Peter Hill that I don't think they have a lot of interaction with 8(a) Service businesses. This is not a matter of financing a bond or having the government pay a larger price to have Verdan receive a bond. It is a matter of experience. Verdan has no experience in construction. They need to build on a background. Peter mentioned that the DA Judge Advocate is merely trying to protect the government's interest.

Ms. Witty, a SBA representative in Seattle, had mentioned that the sureties would not accept a bond with Verdan's name on it, unless the value of the bond was for a relatively low amount. She recommended that we waive our requirement for the bond and merely stress to the 8(a) how important it was for the sub

who will perform the construction portion to show Verdan their bond for the project.

Peter Hill's recommendation was that we make it a requirement in an amendment to have Verdan provide us with evidence that Verdan has received a bond from the sub for the construction portion of the project. He mentioned that as long as the value of the bond is greater than the IGE for the construction portion we'll be okay. If, however, it is less than the construction IGE, than the issue and bond value will need to be negotiated so that the entire negotiated price of the construction portion is bonded.

/s/ ELIZABETH K. FALER
ELIZABETH K. FALER
Contracting Specialist

MEMORANDUM FOR THE RECORD 20 August 1993

CALLER: JULIE MCFARLAND
SBA SEATTLE OFFICE
206 220-6541

CALLING: ELIZABETH FALER
ASPC-RA-SCM
717 878-5110

SUBJECT: REQUEST FOR IGE

MS MCFARLAND CALLED TO ENSURE THAT THEY WOULD GET COPIES OF THE IGE FOR THE UMATILLA PROJECT. I MENTIONED THAT VERDAN HAD COMPLETED THEIR PROPOSAL AND THAT THEY HAD SAID THEY WERE GOING TO DELIVER IT TO SBA ON THURSDAY AFTER IT WAS RETURNED FROM THE PRINTERS. SHE MENTIONED THAT SHE DIDN'T SEE IT YET (IT IS FRIDAY MORNING AROUND 1000 HOURS . . . SHE ASKED THE REST OF HER OFFICE IF THEY HAD SEEN THE VERDAN PROPOSAL THEY SAID NO. I SAID THAT THE PROPOSAL WAS DUE IN OUR OFFICE AT 1400 HOURS ON 19 AUGUST, BUT IT WASN'T SENT UNTIL THAT AFTERNOON WHICH MEANT THAT WE WOULDN'T GET IT UNTIL FRIDAY AROUND 1400 HOURS. I MENTIONED THAT THEY WERE SUPPOSED TO SEND IT TO SBA FIRST IF VERDAN WANTED THEIR ASSISTANCE, BUT THAT THE KO HAD TO HAVE SOMETHING FROM VERDAN IN OUR OFFICE BY COB 19 AUGUST, SO THEY FAXED US THEIR PROPOSAL ASAP THAT AFTERNOON. SHE ASKED ABOUT THE PROPOSAL. I SAID THAT THEY WERE UNDER THE IGE. SHE MENTIONED THAT THAT WAS WHAT THEY WERE WORRIED ABOUT. THEY DIDN'T

WANT COMPANIES PROPOSING TOO LOW OR TOO HIGH . . . WHICH IS WHY THEY SHOULD HAVE SEEN IT BEFORE IT WAS SUBMITTED TO US. I MENTIONED THAT IT WAS ONLY $40,000 BELOW WHICH WAS WELL WITHIN THE 15+/-% THAT WE WERE USUALLY CONCERNED WITH. I MENTIONED THAT THE PERFORMANCE EVALUATION BOARD WAS MEETING AS WE SPOKE SO THAT WE HAD TO HAVE THE PROPOSAL TODAY SINCE WE WERE WORRIED ABOUT MEETING YEAR END MILESTONES. SHE SEEMED SATISFIED WITH OUR OBSERVATIONS AND MERELY ASKED THAT WE KEEP HER INFORMED. THE IGE WAS FAXED TO MS. MCFARLAND AT 206 220-6570.

20 AUGUST 1993

THE PEB IDENTIFIED THAT THERE WERE MANY MISSING PIECES OF INFORMATION IN THE COSTING PROPOSAL. THE KO WAS BRIEFED AND MADE THE DECISION TO IMMEDIATELY FAX A REQUEST FOR A MORE DETAILED COST PROPOSAL WHICH WOULD PROVIDE THE GOVERNMENT WITH LABOR HOURS, MATERIAL AND EQUIPMENT LISTS, ETC. THE KO MENTIONED THAT THERE SIMPLY WERE "GROSS DEFICIENCIES" IN THE PROPOSAL WHICH WOULD NOT ALLOW US TO CONDUCT A PRICE REASONABLENESS DETERMINATION. THE LETTER WAS FAXED TO VERDAN AND A COPY WAS FAXED TO SBA SEATTLE, ATTN: MS. MCFARLAND.

20 August 1993

CALLER GARY TRUJILLO,
SBA SEATTLE DISTRICT OFFICE
206 220-6540

CALLING E. FALER
ASPC-RA-SCM
5110

SUBJECT: PROBLEMS SBA SEATTLE'S OFFICE SEES WITH VERDAN'S PROPOSAL

GARY TRUJILLO FROM THE SBA DISTRICT OFFICE CALLED TO IDENTIFY 3 PROBLEMS THAT HE SEES WITH THE PROPOSAL WHICH THEY JUST RECEIVED. HE MENTIONED 1) THE COSTING PROPOSAL WASN'T SPECIFIC ENOUGH 2) THE INCORRECT SIC CODE WAS USED AND 3) VERDAN NEEDS TO BE BONDED IF THE 1731 SIC CODE IS USED.

1) I MENTIONED THAT WE HAD ALREADY IDENTIFIED THE FACT THAT THE PROPOSAL NEEDED TO BE MUCH MORE SPECIFIC . . . IN FACT HE SHOULD BE RECEIVING A COPY OF OUR LETTER TO VERDAN ASKING FOR SPECIFIC DETAILS IN ORDER TO DO A PRICE REASONABLENESS DETERMINATION SINCE THERE WERE GROSS DEFICIENCIES IN THEIR PROPOSAL.

2) SIC CODES. SEE ATTACHED EXPLANATIONS OF SIC CODES 4813 WHICH WAS CHOSEN AND 1731 WHICH GARY T. THINKS IT SHOULD BE. HE MENTIONED THAT THE CORRECT SIC CODE SHOULD HAVE BEEN

1731 SINCE WE ARE NOT BUYING A SWITCH BUT MERELY INSTALLING ONE. I SAID THAT THE REQUIRING ACTIVITY WAS ASKED TO COME UP HERE TO SELECT THE SIC CODE AND THAT THEY CHOSE 4813. HE SAID THAT IF THE OFFER LETTER, WHICH WAS THE ORIGINAL LETTER SENT TO SBA, HAD MENTIONED THAT IT WAS GOVERNMENT FURNISHED EQUIPMENT THEN HIS OFFICE WOULD HAVE IMMEDIATELY CAUGHT IT AND CALLED US. HE READ FROM THE OFFER LETTER WHICH SAID THAT THE CONTRACTOR WAS, "TO CONSTRUCT A FACILITY TO HOUSE AN AT&T SWITCH AND THEN INSTALL AND TEST THE SWITCH AT UMATILLA ARMY DEPOT". HE SAID HIS OFFICE ASSUMED THAT THIS MEANT THEY WERE PURCHASING THE SWITCH AS WELL.

HE THEN TRIED TO SAY THAT THE MAJORITY OF THE PROJECT MAY BE CONSTRUCTION SO THAT THE SIC CODE WOULD BE SOMETHING ELSE. I SAID NO, THAT THE MAJORITY IN BOTH THE IGE AND THE CONTRACTOR'S PROPOSAL IS SERVICE.

HE SAID THAT IN ORDER TO CHANGE THE SIC TO 1731, THE "CORRECT" SIC, THAT HE COULD DO THAT NOW, AS WE SPOKE AND REFERENCE THE PHONE CALL. I SAID OKAY.

THE PROBLEM WITH CHANGING THE SIC CODE IS THAT THE COMPANY MUST PROVIDE A BID BOND FOR THE CONTRACT WITH THEIR PROPOSAL. I MENTIONED THAT WE HAD TALKED TO MS WITTY OF SBA SEATTLE FREQUENTLY ABOUT THIS MATTER AND THAT WE WERE INFORMED THAT VERDAN COULN'T POSSIBLY GET A BOND, THEREFORE, AFTER TALKING WITH HER, LEGAL EXPERT'S ETC. WE WERE TOLD THAT WE SHOULD IN ORDER TO PROTECT THE GOVERNMENT'S INTEREST, REQUIRE THAT VERDAN SHOW THE GOVERNMENT EVIDENCE THAT THEIR SUB HAS BONDED THE CONSTRUCTION PORTION OF THE CONTRACT. GARY WANTED TO KNOW WHO HAD GIVEN US THAT ADVICE. I SAID MS WITTY HAD ADVISED US OUT OF THE SBA OFFICE.

HE SAID THAT IT WAS AN SBA REQUIR[E]MENT THAT THE CONTRACTOR WITH AN SIC PROJECT NO. OF 1731 HAS TO FURNISH A BID BOND UNLESS IT IS WAIVED BY THE REQUIRING AGENCY. HE SAID IF WE WAIVED THE BONDING REQUIREMENT, THEN SBA WOULD PROBAB[L]Y WAIVE THEIR REQUIREMENT. I REITERATED THAT WE WERE TOLD BY MS WITTY THAT VERDAN DOESN'T HAVE THE EXPERIENCE TO GET A BOND IN THIS AREA. BESIDES EXPERIENCE, HE SAID THEY HAD TO MEET A CERTAIN FINANCIAL STATUS IN ORDER TO GET A BOND AND WHETHER THEY COULD BE BONDED WAS BETWEEN THE SURETY AND VERDAN.

HE MENTIONED THAT VERDAN IS LISTED UNDER THE 1731 AND 4813 SIC CODES.

I MENTIONED THAT I HAD TO BRIEF MY KO ON THIS INFORMATION.

20 August 1993

CALLER WM REUBEL
VERDAN
206 848-1843

CALLING E. FALER
ASPC-RA-SCM
5110

SUBJECT: VERDAN HAS RECEIVED OUR FAX LETTER REQUESTING ADDITIONAL COST AND MATERIAL LISTING INFORMATION

1530 HOURS. HE UNDERSTOOD THE NEED FOR DETAILED LABOR HOURS BUT DIDN'T UNDERSTAND THE ADDITIONAL MATERIALS AND EQUIPMENT LISTS REQUESTS. FOR EXAMPLE, IN THE PROPOSAL HE MENTIONED SPARE PARTS WOULD BE FURNISHED . . . THERE IS NO EXPLANATION OF WHAT PARTS, HOW MANY, ETC. HE SAID THEY WOULD GET ON IT ASAP.

HE THEN SAID THAT IT WAS 1:30 OR SO ON THE WEST COAST AND THAT HE DIDN'T THINK HE WOULD BE ABLE TO MEET THE SUB AND GET MORE DETAILED INFORMATION FROM HIM BEFORE 1000 HOURS EST WHEN WE WANTED THE INFORMATION. I SAID DO WHATEVER POSSIBLE TO GET THE INFORMATION, SEND WHAT INFORMATION THEY DO HAVE AND THEN IF THEY STILL HAVEN'T ANSWERED ALL THE MAIL ASK FOR AN EXTENSION ON MONDAY SPECIFYING HOW LONG THEY NEED. THE KO WILL HAVE TO MAKE THE DECISION AT THAT TIME.

20 August 1993

MEMORANDUM FOR THE RECORD

MEETING BETWEEN KO (MARY ANN KEYSER), REQUIRING ACTIVITY (RICK CAZAD) USAISEC-CONUS, AND E. FALER

SUBJECT: SIC CODES FOR UMATILLA PROJECT

1. I BRIEFED THE KO AND RICK CAZAD ABOUT THE PROBLEMS WHICH GARY TRUJILLO HAD IDENTIFIED. SHE GAVE THE SIC CODE BOOK TO THE REQUIRING ACTIVITY REPRESENTATIVE, RICK CAZAD. HE CONFIRMED THAT THE CODE SHOULD BE 4813. THE KO SAID SHE DIDN'T WANT THE SIC CODE CHANGED TO 1731. THE REQUIRING ACTIVITY WAS SATISFIED WITH 4813 AND TO NOTIFY SBA THAT SHE DIDN'T SEE HOW CHANGING THE SIC CODE TO 4813 WOULD OF BENEFIT TO THE GOVERNMENT AND THIS CONTRACT.

20 August 1993

CALLER: E. FALER
ASPC-RA-SCM
5110

CALLING GARY TRUJILLO
SBA SEATTLE DISTRICT OFFICE
206 220-6540

SUBJECT: SIC CODE

A MESSAGE WAS LEFT AT SBA DISTRICT OFFICE VIA GARY TRUJILLO'S ANSWERING SERVICE WHICH STATED THAT THE KO HAD BEEN BRIEFED ABOUT THE 4813 AND 1731 SIC CODES AND DID NOT CONCUR WITH THE CHANGE TO THE 1731. THE KO HAD IMMEDIATELY CONTACTED THE REQUIRING ACTIVITY, HAD SHOWN THEM BOTH DESCRIPTIVE PARAGRAPHS OUT OF THE SIC MANUAL AND THE REQUIRING ACTIVITY STILL SELECTED 4813. I LEFT WORD THAT I WOULD NOT BE IN THE OFFICE FROM THE 23-27 AUGUST, AND THAT HE SHOULD TALK WITH D. SCARLATA IN THE OFFICE IF HE HAD QUESTIONS ON MONDAY.

21 August 1993

CALLER GARY TRUJILLO
SBA SEATTLE DISTRICT OFFICE
206 220-6540
CALLING E. FALER
ASPC-RA-SCM
5110

SUBJECT: RETURNED PHONE CALL

UPON ARRIVING IN THE OFFICE SATURDAY, 21 AUGUST, I NOTICED THAT G. TRUJILLO HAD TRIED TO RETURN MY CALL REGARDING THE KO'S DECISION TO STAY WITH THE SIC CODE 4813. I WILL ASK THAT DARLA SCARLATA (OR WHOEVER THE KO APPOINTS) RETURN HIS CALL NEXT WEEK SINCE I WILL BE OUT OF THE OFFICE UNTIL 30 AUGUST.

/s/ ELIZABETH K. FALER
ELIZABETH K. FALER
Contract Specialist

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Case No. CV95-00612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS ADMINISTRATION; AND THE UNITED STATES DEPARTMENT OF THE ARMY,
DEFENDANT

AFFIDAVIT

State of Arizona
County of Cochise} ss..

Hildegard Choate, being duly sworn, deposes and says:

1. I am presently employed by the United States Army Information Systems Command at Fort Huachuca, Arizona.

2. That I am the contracting officer for contract DAEA 08-93-C-0056 and am presently the contracting officer for contract DAEA 08-94-C-0004. This affidavit is made pursuant to my review of the files associated with these contracts, and the documents

attached hereto are true and correct copies of the documents contained in those files.

3. That I made this affidavit in support of defendants' Cross Motion for Summary Judgment.

4. That Army contract DAEA 08-93-C-0056 was awarded to the Small Business Administration (SBA) for sub-contracting to Verdan Technology, Inc. The total amount of the contract was $430,879. The administration of that contract was handled directly between the Army and Verdan Technology, Inc. All payments under said contract were made directly from the Army to Verdan Technology, Inc. No money was ever transferred under this contract from the Army to the SBA. A copy of the contract's special 8(a) conditions are attached hereto as Exhibit A.

5. The Army designated the acquisition under Standard Industrial Classification Code (SIC Code) 4813, Telephone Communications. Condition K-14 is found on page K-9 of the contract, attached hereto as Exhibit B.

6. The contract did not require the 8(a) contractor to post a performance bond or payment bond, the original solicitation having been amended to delete the bonding requirement.

7. On or about January 3, 1995, the Army terminated contract DAEA 08-93-C-0056 for default because of Verdan's failure to adhere to the contract's delivery schedule for installation of the telecommunications equipment and to submit required contractor Data Requirements Lists. This termination included

both Verdan Technology, Inc. as subcontractor, and the SBA as prime contractor.

8. Contract DAEA 08-93-C-0056 consisted basically of two parts. One part was construction of a building to house telephone switching equipment and the installation of cable. The second part was the installation, testing, and putting on-line of that equipment.

9. During the contract, the Army disbursed $348,000 to Verdan. These disbursements were based on submitted invoices. No funds were held back or retained. $269,481.35 of the funds disbursed were for site preparation and construction of the housing facility. The original contract price for that portion of the project was $231,759.08. It appears that the additional $37,722.27 paid for construction was due to overcharges or misidentified charges made in the invoices submitted by Verdan.

10. After the Verdan contract DAEA 08-93-C-0056 was terminated, I chose contract DAEA 08-94-C-0004, already awarded to Dynamic Concepts, Inc., to finish the uncompleted portion of the Verdan contract. Modification P0006 (Exhibit C) was issued to finish this work.

11. The DCI contract was for administrative telephone services, to include operation and maintenance of the telephone switches at Umatilla.

12. Modification P0006 to the DCI contract was to enter the subscribing data base into the new telephone switch, testing and cutting over the new switch. It also included work not covered by the

Verdan contract, including installation of a sprinkler system and reinstalling the power and grounding panels in a flush-mounted fashion.

13. Modification P0006 to the DCI contract was for $126,772.78.

14. The Army paid for this modification by transferring the $84,910.52 left on the Verdan contract to the DCI contract. The balance was paid from other sources.

15. The contract between the Army and Verdan did not include retainage of money to ensure performance. The reason that a balance of $84,910.52 existed at the time Verdan was terminated was because the work had not been performed to entitle Verdan to payment.

/s/ HILDEGARD CHOATE
HILDEGARD CHOATE

STATE OF ARIZONA

COUNTY OF COCHISE ss:

Subscribed and sworn to before me this 29th day of February, 1996.

/s/ MARY EATON
Notary Public
My commission expires March 8, 1998

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF OREGON

Civil #95-612-FR

BLUE FOX, INC., A WASHINGTON CORPORATION,
PLAINTIFF

v.

THE UNITED STATES SMALL BUSINESS ADMINISTRATION; AND THE UNITED STATES DEPARTMENT OF THE ARMY,
DEFENDANTS

DECLARATION OF ERLINDA M. SAWYERS

I, ERLINDA M. SAWYERS, hereby declare as follows:

1. I am a contracting officer employed by the Seattle District Office of the Small Business Administration (herein "the SBA"), which is located at 1200 Sixth Avenue, Suite 1700, Seattle, Washington. I make this Declaration based upon personal knowledge or upon information officially furnished to me.

2. Verdan Technology, Inc. had been determined by the agency to be a socially and economically disadvantaged small business concern and was a participant in the SBA's Section 8(a) program at the time of contract award.

3. On or about September 29, 1993, the United States Army Information Systems Command (herein

"the Army") awarded Contract No. DAEA08-93-C-0056 to the SBA. The project involved the installation and testing of a switching system and the construction of a facility to house the switching system at the Umatilla Army Depot, Oregon. The contract, a copy of which is attached hereto as Exhibit A, is a tripartite contract in which SBA agreed to furnish the supplies or services requested by the Army by subcontracting with Verdan Technology, Inc.

4. Verdan Technology, Inc., for and on behalf of the SBA, was required to fulfill and perform all of the requirements of Contract No. DAEA08-93-C-0056 in accordance with Federal Acquisition Regulation 52.219-17 "Section 8(a) Award - Tripartite Contract (Feb 1990), a copy of which was part of the contract and attached hereto as Exhibit B. Contract DAEA08-93-C-0056 will be referred to herein as "the tripartite contract." The total amount of the contract was $430,879.

5. I signed the tripartite contract on behalf of the SBA on or about September 29, 1993.

6. The original solicitation issued by the Army required the contractor to furnish payment and performance bonds if the contract exceeded $25,000. However, on August 5, 1993 the Army issued an amendment to the solicitation deleting the performance and payment bonding requirements as to the contractor, Verdan Technology, Inc. The tripartite contract did not contain a requirement that the contractor furnish either a payment bond or a performance bond. A copy of the Amendment of Solicitation is a part of the SBA file on the tripartite contract and is attached hereto as Exhibit C.

7. A tripartite contract modification, effective May 16, 1994, was entered into by the parties which modified the scope of work and increased the total amount of the contract from $430,879. to $432,392.13. A copy of the modification, which is part of the SBA file on the tripartite contract, is attached hereto as Exhibit D.

8. By Modification of Contract effective January 3, 1995, the Army terminated the tripartite contract for default due to Verdan Technology, Inc.'s failure to adhere to the delivery schedule and its failure to deliver Contract Data Requirement Lists. A copy of the termination, which is part of the SBA file on the tripartite contract, is attached hereto as Exhibit E.

9. Under the terms of the tripartite contract, Verdan Technology, Inc. was to be directly paid by the Army. See Exhibit B attached hereto. The SBA did not receive any funds from the Army in connection with the tripartite contract. Furthermore, the SBA has never appropriated any funds for performance of the tripartite contract or any follow-on contract concerning the Umatilla Army Depot nor has it retained any funds in connection with the performance of the tripartite contract.

I verify under penalty of perjury, in accordance with 28 U.S.C. Section 1746, that the foregoing is true and correct.

EXECUTED on this 23 day of June, 1995.

/s/ ERLINDA M. SAWYERS
ERLINDA M. SAWYERS

AMENDMENT OF SOLICITATION/MODIFICATION OF CONTRACT

1. CONTRACT ID CODE	PAGE OF PAGES
J	1 2

2. AMENDMENT/MODIFICATION NO.	3. EFFECTIVE DATE	4. REQUISITION/PURCHASE REQ. NO.	5. PROJECT NO. (If applicable)
P00005	01/03/95		

6. ISSUED BY CODE c18

US ARMY INFO SYSTEMS COMMAND
OFFICE OF ACQUISITION 878-5203
ASPC-RA-SPR (MRS. ABRAHAM)
FORT RITCHIE MD 21719-5012
JoAnn Abraham C18(301) 878-5065

7. ADMINISTERED BY (If other than Item 6) CODE

8. NAME AND ADDRESS OF CONTRACTOR (No., street, county, State and ZIP Code) Vendor ID: 00008522

VERDAN TECHNOLOGY, INC.
16715 MERIDIAN EAST
BUILDING G
PUYALLUP WA 98373

CODE FACILITY CODE

(X)	9A. AMENDMENT OF SOLICITATION NO.
	9B. DATED (SEE ITEM 11)
X	10A. MODIFICATION OF CONTRACT/ORDER NO. DAEA08-93-C-0056 Sub-contract 1013-93-2-00102
	10B. DATED (SEE ITEM 13) 09/18/93

11. THIS ITEM ONLY APPLIES TO AMENDMENTS OF SOLICITATIONS

☐ The above numbered solicitation is amended as set forth in Item 14. The hour and date specified for receipt of Offers ☐ is extended, ☐ is not extended.

Offers must acknowledge receipt of this amendment prior to the hour and date specified in the solicitation or as amended, by one of the following methods: (a) By completing Items 8 and 15, and returning _____ copies of the amendment; (b) By acknowledging receipt of this amendment on each copy of the offer submitted; or (c) By separate letter or telegram which includes a reference to the solicitation and amendment numbers. FAILURE OF YOUR ACKNOWLEDGMENT TO BE RECEIVED AT THE PLACE DESIGNATED FOR THE RECEIPT OF OFFERS PRIOR TO THE HOUR AND DATE SPECIFIED MAY RESULT IN REJECTION OF YOUR OFFER. If by virtue of this amendment you desire to change an offer already submitted, such change may be made by telegram or letter, provided each telegram or letter makes reference to the solicitation and this amendment, and is received prior to the opening hour and date specified.

12. ACCOUNTING AND APPROPRIATION DATA (If required) N/A

Mod Obligated Amount US $0.00

13. THIS ITEM APPLIES ONLY TO MODIFICATIONS OF CONTRACTS/ORDERS, IT MODIFIES THE CONTRACT/ORDER NO. AS DESCRIBED IN ITEM 14.

(X)	A. THIS CHANGE ORDER IS ISSUED PURSUANT TO: (Specify authority) THE CHANGES SET FORTH IN ITEM 14 ARE MADE IN THE CONTRACT ORDER NO. IN ITEM 10A.
	B. THE ABOVE NUMBERED CONTRACT/ORDER IS MODIFIED TO REFLECT THE ADMINISTRATIVE CHANGES (such as changes in paying office, appropriation date, etc.) SET FORTH IN ITEM 14, PURSUANT TO THE AUTHORITY OF FAR 43.103 (b).
	C. THIS SUPPLEMENTAL AGREEMENT IS ENTERED INTO PURSUANT TO AUTHORITY OF:
X	D. OTHER (Specify type of modification and authority) Termination for Default, FAR 52.249-8

E. IMPORTANT: Contractor ☒ is not, ☐ is required to sign this document and return _____ copies to the issuing office.

14. DESCRIPTION OF AMENDMENT/MODIFICATION (Organized by UCF section headings, including solicitation/contract subject matter where feasible.)

The purpose of this modification is to terminate the contract for default.

Under the terms of the contract, F.4, FAR 52.212-0001 I, Time of Delivery, Verdan Technology, Inc. has failed, in accordance with the required delivery schedule, to deliver Contract Line Item Number 0002, Services to install, test and make operational the Government Furnished Equipment AT&T Electronic Switching System, in accordance with the Statement of Work. In addition, Verdan Technology, Inc. has failed to

Except as provided herein, all terms and conditions of the document referenced in Item 9A or 10A, as heretofore changed, remains unchanged and in full force and effect.

15A. NAME AND TITLE OF SIGNER (Type or print)		16A. NAME AND TITLE OF CONTRACTING OFFICER (Type or print) Richard Barron C36	
15B. CONTRACTOR/OFFEROR (Signature of person authorized to sign)	15C. DATE SIGNED	16B. UNITED STATES OF AMERICA BY Richard Barron (Signature of Contracting Officer)	16C. DATE SIGNED 1/9/95

deliver Contract Data Requirements List(s) identified in two Cure Notices and one Show Cause Notice.

Verdan Technology, Inc. rights to proceed further under the contract is terminated.

Supplies or services terminated may be purchased against Verdan Technology, Inc.'s, account, and Verdan Technology, Inc. will be held liable for any excess costs.

The Government reserves all rights and remedies provided by law or under the contract in addition to charging excess costs.

This notice constitute a decision that the contractor is in default as specified and a decision is made that failure to perform is not excusable and Verdan Technology, Inc. has the right to appeal such decision under the Disputes clause.

The amount of the contract remains unchanged.